How Interest Can Be Awful

Table 1.2. Interest on a $12,000 loan with 10% APR

Money borrowed	APR	Interest per year	Interest per month
$12,000	10%	$1,200	$100

Looking at our car loan example, let's apply 10% APR to the money you borrowed.[5] As you can see in Table 1.2, the amount owed on the money borrowed does not just stay at $12,000. In fact, it is accruing (growing) at a rate of nearly $1,200 the first year, or $100 every month. It is going up $1,200 because $1,200 is 10% (the APR) of the $12,000 borrowed. So if you paid only $100 per month for that car, you would never pay the car off. Every month you would pay $100, which would only cover the interest, and you would still owe $12,000 on the car.

The not-so-awful news is that your interest is not always 10% of the amount you initially borrowed; it is 10% of the money you owe toward your principal. Because you are going to be lowering your principal a little bit each month, the amount you owe in interest is going to decrease slowly as well.

Table 1.3. How amortization works

Amount owed	Payment	Toward principal	Toward interest	Balance
$12,000	$200	$100	$100	$11,900
$11,900	$200	$101	$99	$11,799
$11,799	$200	$102	$98	$11,697

5 Note that the 10% APR shown here is only an example; your APR will depend on a number of factors (mainly your credit score), which will be discussed in the chapter on credit.